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‘Junk fees’ law: Exemption for California restaurants is one step closer to approval

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UPDATE: Restaurant surcharges remain legal in California after whiplash over 'junk fees' law

Last-minute legislation that would allow restaurant surcharges to remain legal in California inched closer to becoming law on Monday.

The California Assembly unanimously approved Senate Bill 1524, a response to restaurant outcry over the industry's inclusion in SB478, a new state "junk fees" law that will ban surcharges starting in one week. The proposed bill would create a carve-out for restaurants to use automatic service charges and other fees as long as they're "clearly and conspicuously" disclosed to diners.

The Senate must sign off on final changes in a concurrence vote this week, then the bill will head to Gov. Gavin Newsom's desk.

Introduced by Sen. Bill Dodd, D-Napa, earlier this month, the proposed bill has been fast-tracked through the legislative process amid tension between restaurants and diners that's erupted over SB478. Many restaurateurs are hoping it passes before July 1 to prevent what they believe will have disruptive ripple effects on the industry, including higher prices for diners and pay cuts for workers. Many customers who lauded California's ban on "junk fees," meanwhile, have been dismayed that the law might not apply to restaurants after all.

Some Bay Area restaurants already announced changes to their models this week in anticipation of SB478 taking effect, including the two-Michelin-star Commis in Oakland, which folded a 20% service fee into listed menu prices.

The new bill was co-authored by Sen. Scott Wiener, D-San Francisco, and Assemblymembers Matt Haney, D-San Francisco, Jesse Gabriel, D-Encino, and Cecilia Aguiar-Curry, D-Winters.

Lt. Gov. Eleni Kounalakis, the California Restaurant Association and hospitality labor union Unite Here support the legislation; it has been opposed by the Consumer Federation of California.

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